EQUITY RESEARCH

INITIATION OF COVERAGE

Acme Industrial Holdings

ACME · NASDAQ · Capital Goods

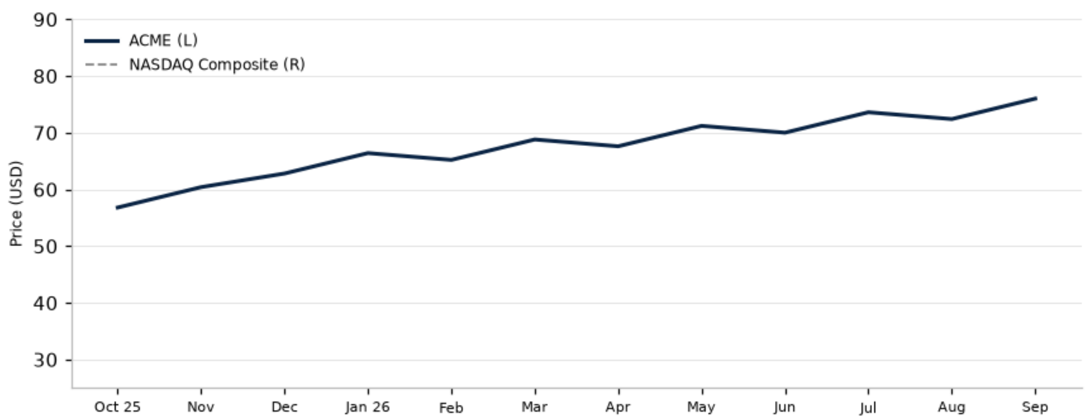
Riding the margin-inflection wave; initiate Overweight

RATING	TARGET PRICE	CURRENT PRICE	UPSIDE/(DOWNSIDE)
OVERWEIGHT	USD 78.00	USD 64.00	+22%

relative to coverage universe

Market Cap $4.2B · Shares Out 65.4M · Avg Daily Vol 1.2M · 52-Week Range $41.20 – $69.80 · NTM P/E 18.5x · Horizon 12 months

Exhibit 1: 12-month price performance



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1. Executive Summary

We initiate coverage of **Acme Industrial Holdings (ACME, NASDAQ)** with an **OVERWEIGHT** rating and a **USD 78.00 twelve-month target price**, implying **+22% upside/(downside)** from the current price of USD 64.00. Our rating is relative to the coverage universe over the stated horizon, consistent with the rating definitions in the Recommendation section.

What's changed. Initiation of coverage: no prior rating or target price. We establish FY2026E revenue of $1,560M (+13% y/y) and EPS of $3.28, 4% above consensus, driven by automation backlog conversion.

Investment thesis. Our thesis rests on three pillars: (1) margin expansion from the automated manufacturing rollout completing Q3 2026, (2) backlog conversion acceleration fueled by infrastructure-spending tailwinds, and (3) an underappreciated aftermarket revenue inflection as the installed base matures.

Key risks. Steel input-cost volatility, customer concentration (top-3 accounts ≈ 38% of revenue), and a slower-than-expected manufacturing upcycle.

Financial highlights (illustrative):

Metric	FY2024A	FY2025A	FY2026E	FY2027E
Revenue (USD M)	1,240	1,380	1,560	1,720
EBITDA margin (%)	14.2	15.8	17.5	18.3
EPS (USD)	1.92	2.35	3.28	3.95
FCF yield (%)	5.1	6.2	8.4	10.1
Net debt/EBITDA (x)	1.8	1.4	0.9	0.5

Source: Company data, WSR Research estimates.

2. Company Overview

Business Model

ACME designs and manufactures industrial automation systems for discrete and process manufacturing. Revenue splits roughly 62% equipment, 24% aftermarket parts & services, and 14% software & connectivity. The aftermarket mix is the strategic priority: it carries 2–3x the gross margin of equipment and is the most defensible line as the installed base compounds.

Industry & Market Position

The global industrial automation market is ~$180B, growing high-single-digit annually. ACME ranks #4 by share with ~6.5%, behind three larger diversified peers but ahead of most pure-play rivals. Its differentiation is vertical-software depth — roughly 40% of new equipment orders ship with a software subscription attach, versus a low-teens industry average.

Management

The CEO (since 2019) has a 20-year operating history at ACME; the CFO joined in 2022 from a large-cap industrial. Management has guided to a 15–17% long-term EBITDA margin framework and a 30–40% payout ratio. We view execution risk around the Q3 2026 manufacturing rollout as the key management watch-item.

3. Financial Analysis

Revenue

Equipment revenue is cyclical but backlog visibility is strong: the current backlog of $940M covers ~70% of FY2026E equipment revenue. Aftermarket revenue has compounded at 14% over FY2021–25A and should inflect further as the installed base grows.

Margins & Profitability

FY2025A EBITDA margin of 15.8% reflected commodity headwinds and rollout inefficiencies. We model 17.5% for FY2026E and 18.3% for FY2027E as the automation rollout drives labor-cost savings and mix shifts toward aftermarket.

Balance Sheet & Cash Flow

Net debt/EBITDA of 1.4x at FY2025A falls to ~0.5x by FY2027E on our estimates, giving the balance sheet optionality for buybacks or M&A. FCF conversion (FCF/net income) has averaged ~85%; we model 90%+ by FY2027E.

Segment Detail

Segment	FY2025A Rev (USD M)	FY2026E Rev (USD M)	FY2026E GM (%)	y/y (%)
Equipment	856	967	31	+13
Aftermarket	331	405	52	+22
Software	193	226	68	+17

Source: Company data, WSR Research estimates.

4. Valuation

Methodology

We value ACME on a blend of a base-case DCF (60% weight) and forward EV/EBITDA relative to peers (40% weight), cross-checked against historical multiples and a bull/bear scenario range.

Discounted Cash Flow

Our base-case DCF assumes a 9.2% WACC, a 2.5% terminal growth rate, and an 18% terminal EBITDA margin, yielding an equity value of ~$4.9B or ~$75/share.

Comparable Companies

Company	Ticker	Rating	FY2026E EV/EBITDA (x)	FY2026E P/E (x)	FY2026E FCF Yield (%)
Acme Industrial	ACME	OW	11.8	18.5	8.4
Peer A	PRA	OW	12.5	20.1	6.9
Peer B	PRB	EW	11.0	17.2	9.3
Peer C	PRC	UW	9.8	15.0	11.2
Median			11.4	17.9	8.9

Source: FactSet, WSR Research estimates.

Sensitivity Analysis

WACC \ Terminal g	1.5%	2.5%	3.5%
8.2%	72	82	94

WACC \ Terminal g	1.5%	2.5%	3.5%
9.2%	64	75	86
10.2%	58	68	79

Source: WSR Research estimates. Values in USD/share.

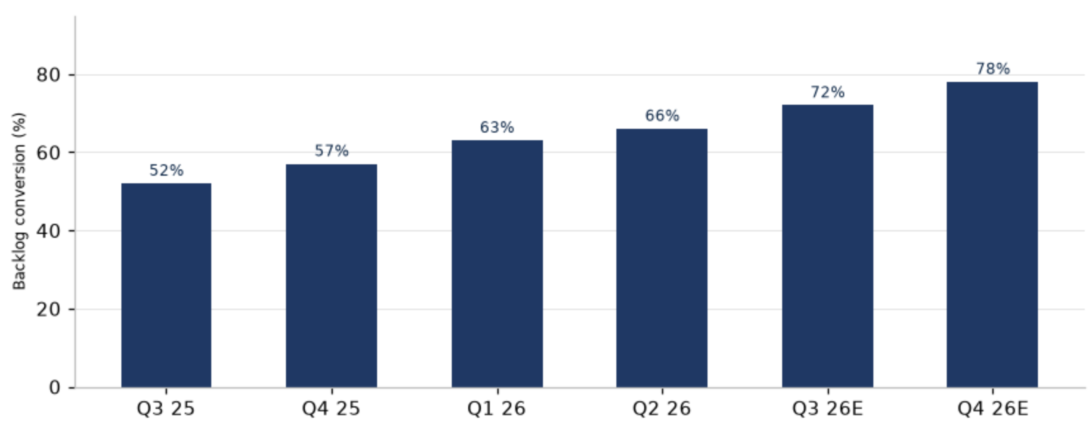
Target Price Derivation

Blending the DCF ($75) and comps ($82) at 60/40 yields a $78.00 target price. **Upside/(downside) to target: +22%.** Our bull case of $92 assumes faster margin delivery and multiple re-rating; our bear case of $52 assumes a demand recession and customer concentration losses.

5. Investment Thesis

1. **Margin inflection is visible and underappreciated.** The Q3 2026 automated-manufacturing rollout removes ~600 bps of conversion-cost drag; consensus has not yet modeled the full FY2027E benefit.
2. **Backlog conversion accelerates on infrastructure tailwinds.** Orders tied to reshoring and grid modernization have grown 31% y/y for three consecutive quarters.
3. **Aftermarket revenue inflection compounds.** With the installed base doubling every ~4 years, attach-rate gains in parts and services should sustain 15%+ segment growth through FY2028E.
4. **Multiple re-rating optionality.** ACME screens at an ~8% discount to the median peer on FY2026E EV/EBITDA despite superior growth and FCF generation.

Exhibit 2: Backlog conversion rate by quarter



Source: Company disclosures, WSR Research estimates.

6. Catalysts & Event Calendar

Date	Event	Potential Impact
Q3 2026	Automation rollout completion	Positive: margin step-change visible
Oct 2026	FY2026 Q3 earnings	Positive if backlog conversion in-line+
Nov 2026	Investor day	Neutral-to-positive: LT margin framework
Feb 2027	FY2026 results	Key test of 17.5% margin delivery

7. Risk Factors

Business & operational risks. Customer concentration (top-3 ≈ 38% of revenue); project-execution risk around large automation deployments; supply-chain exposure to steel and specialty electronics.

Financial risks. Commodity-cost inflation pressure on gross margin; FX translation from ~30% non-USD revenue; leverage currently modest but acquisition-driven step-changes possible.

Regulatory & macro risks. Trade-policy changes affecting reshoring incentives; cyclicality of manufacturing capex; wage-inflation pass-through limitations.

Market risks. Multiple compression in a rising-rate environment; peer de-rating contagion; index-removal risk if free-float liquidity deteriorates.

8. Recommendation

Rating

OVERWEIGHT — ACME's total return is expected to exceed the average total return of its industry coverage universe over the next 12 months, on a risk-adjusted basis. **USD 78.00 target price** vs. current price of USD 64.00.

Rating Definitions

- **Overweight (OW)** — expected to outperform the relevant industry coverage universe over the next 12 months.
- **Equal-weight (EW)** — expected total return in line with the relevant industry coverage universe.
- **Underweight (UW)** — expected to underperform the relevant industry coverage universe.
- **Not Rated (NR)** — coverage not currently assigned.

Rating scales vary by firm: Goldman Sachs uses Buy/Neutral/Sell plus a Conviction List; Morgan Stanley and J.P. Morgan use Overweight/Equal-weight/Underweight (with Not-Rated). Pick ONE scale, state it, and keep it consistent throughout.

Key Assumptions to Monitor

5. FY2026E margin delivery path toward 17.5% EBITDA margin.
6. Backlog conversion rate vs. the 70% FY2026E coverage ratio.
7. Aftermarket attach-rate and software renewal metrics.
8. Commodity cost trajectory and pricing power.

Next catalyst: Q3 FY2026 earnings (October 2026).

9. Analyst Certification

I, Jane Doe, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company and its securities, which have not been influenced by considerations of the firm's business or client relationships. My compensation is based on various factors, including research quality, accuracy of estimates, investor feedback, and firm profitability — not on any specific recommendation contained in this report.

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11. Appendix

A. Rating Distribution (for illustration, FINRA-style)

Rating Category	Count	% of Total	% of IBC
Overweight / Buy	152	42	47
Equal-weight / Hold	158	43	42
Underweight / Sell	56	15	10
Total	366	100	99

B. Glossary

- **EBITDA** — earnings before interest, taxes, depreciation, and amortization
- **EV/EBITDA** — enterprise value divided by EBITDA
- **FCF yield** — free cash flow divided by market capitalization
- **WACC** — weighted average cost of capital

C. Data Sources

Company filings (10-K/10-Q/annual reports), company guidance and disclosures, FactSet, consensus estimates, and WSR Research estimates. All figures are in USD unless otherwise stated.